

buffer here, there's no need to transfer any more funds to this account unless you need to dip into it.

A quick comment on bank accounts and relationships: another bank account you might consider is a joint account with your partner, especially if you are living together. To protect you both, especially early in a relationship, you might agree on how much you'll regularly contribute to the joint account, what the money is to be spent on and even that both of you have to authorise payments. That said, I would always also recommend you each have your own personal bank accounts. You want to retain some financial independence and this way, neither of you has to account for every single dollar you're spending and why you're spending it. Be aware too of joint credit cards. That's because if you're the primary card-holder, you'll ultimately be the one responsible for the debt. If you're in a relationship and your partner insists on a joint account and doesn't 'allow' you to have your own personal bank account, this should be a *huge* red flag and potentially a warning sign of possible or potential financial abuse.

Now that you've used your twelve-month goals to help you work out what bank accounts you need and how much to put in each one, it's time to automate the regular transfers so amounts are automatically sent each pay cycle from your everyday account to your bills, savings, splurge and other possible accounts you might dream up to add.

The reason automations are important is because we don't want this system to be dependent on our self-control. Think about two other payments that tend to be automated: mortgage payments and superannuation. There's a reason why mortgages and superannuation are so effective—because they're automatic, they don't require any effort from us. The bank doesn't leave it up to us when and how much to pay off our mortgage; instead, repayments are deducted by the bank from our account automatically. And in Australia our superannuation is paid by our employers directly to our super funds. Because it happens automatically, we simply accept it. Too many business owners don't make regular superannuation contributions for themselves, because, depending on their structure, they're not compulsory and automatic.

We need to create the same automated system for all of our finances. That's why I'm such a fan of setting up direct debits from your everyday